



Relationship marketing

The strategy of relationship marketing is to develop and manage a trusting, long-term association with customers and other markets that have links with the company.

How it works

Relationship marketing aims to replicate the type of interaction that village stores once had with their customers, offering a high level of personalized service to win them over for a lifetime. While small, local businesses naturally work this way, large

corporations have now changed their focus from making the sale to relationships, and from short-term reward to long-term gain. The marketer can extend the network beyond the engaged customer to include employees, suppliers, and others.

Six markets model

Relationship marketing has established a strategy for communicating with the customer. This strategy defines six markets—not just traditional customer markets—where companies should direct their marketing efforts.



CASE STUDY

Starbucks

The strategy of coffee-shop chain Starbucks exemplifies effective relationship marketing. Centered on core customer and internal markets, it also involves suppliers, referrals, and recruitment (employee) markets.

Marketing to customers

- › Social media
- › Business crowdsourcing
- › Familiarity with customers
- › Loyalty program
- › Reward card app
- › Mobile payments

Marketing internally

- › Barista training
- › Tech development opportunities

Marketing via referrals

- › Word of mouth
- › Social media shares

Marketing to employees

- › Stock options
- › Medical insurance
- › Partnership

Marketing to suppliers

- › Fairtrade programs
- › Quality control



Supplier markets

Building a relationship of collaboration with suppliers makes good commercial sense.



Influence markets

To maintain good public relations, the company works with regulators and consumer or environmental groups.